Taxable Accounts at More Than One Brokerage: the Rules

Capital gains, pooled ACB, superficial losses, margin interest and dividends, in plain English · 2026 · federal

A margin or cash account is not registered: every dividend, interest payment and capital gain is taxed. When you use more than one brokerage, each one only reports its own accounts, but the CRA looks at you as one taxpayer. These are the rules that matter, and how the tracker handles each one.

1. CAPITAL GAINS

Rule	What it means	In the tracker
50% inclusion rate	Half of your net capital gain for the year is taxable (Schedule 3, Line 12700). The proposed increase to two-thirds was cancelled in 2025.	Tax Summary, Line 12700.
Gains and losses are netted	All your gains and losses for the year, at every brokerage, are added together first.	Net capital gain card and the per-brokerage table.
Losses only offset gains	A net capital loss cannot reduce your salary or other income. Carry it back up to 3 years (Form T1A) or forward with no time limit (Line 25300 in a year with gains).	Tax Summary "Carry over" line.
Settlement date	Trades settle one business day after the trade date (T+1). For tax-loss selling, check your broker's last trading day of the year so the sale settles by December 31.	Year-end checklist in Settings.

2. ADJUSTED COST BASE (ACB): ONE AVERAGE ACROSS ALL BROKERAGES

Your ACB is what you paid for your shares, including commissions. For identical shares, the CRA uses the **average cost of all the shares you own in every non-registered account**, not the cost at each brokerage separately.

Example	Shares	Cost
Questrade: buy 120 ENB at $60.00 + $4.95	120	$7,204.95
RBC: buy 40 ENB at $62.00 + $9.95	40	$2,489.95
Pooled: 160 shares, average $60.59 per share	160	$9,694.90
Sell 40 at RBC for $65.00 − $9.95 = $2,590.05	ACB sold: 40 × $60.59 = $2,423.72	Gain: $166.33

RBC's T5008 might show a book value of $2,489.95 for those 40 shares, giving a gain of only $100.10. The pooled number is the one the CRA expects. The tracker keeps this running average for every ticker in hidden columns of the Transaction Log and shows the gain or loss on every Sell row (column O).

Event	Effect on ACB
Buy or DRIP	Adds the cost (including commission) and the shares.
Sell	Removes the shares at the average cost. The average cost per share does not change.
Return of capital	Lowers your ACB. If it goes below zero, the extra is a capital gain.
Reinvested (phantom) distribution	Raises your ACB. Shown on the ETF's T3 and the provider's tax breakdown.
In-kind transfer between your brokerages	No change. It is not a sale.
Superficial loss	The denied loss is added to the ACB of the shares you bought back.

3. THE SUPERFICIAL LOSS RULE (INCOME TAX ACT S. 54)

If you sell shares at a loss and you, or a person affiliated with you, buy the same shares in the 30 days before or after the sale, and still own them 30 days after the sale, the loss is denied.

- "Affiliated" includes your spouse or common-law partner and a company you control.
- It also applies when your own TFSA, RRSP or FHSA buys the shares back, even though it is a different account.
- Buying back at a **different brokerage** still counts: the CRA looks at you, not the account.
- The denied loss is not lost forever: it is added to the ACB of the shares you bought back.

In the tracker: column P flags "Possible superficial loss" on any Sell at a loss with a Buy or DRIP of the same ticker within 30 days, at any of your brokerages. The Tax Summary shows your net gain if those losses are denied. Buys by your spouse or in your registered accounts are not in this sheet, so check those yourself.

4. MARGIN INTEREST

Rule	What it means
Deductible on Line 22100	Interest on money borrowed to earn income from investments (dividends, interest) is a carrying charge you can deduct. The law is Income Tax Act 20(1)(c); the CRA explains it in Income Tax Folio S3-F6-C1 (Interest Deductibility), which replaced the archived IT-533.
No cap at investment income	Canada does not limit the deduction to your investment income, and there is no carry-forward of "excess" interest (that is a US rule). Interest above your investment income reduces your other income.
Not deductible for personal use	If the borrowed money paid for personal spending (a car, a trip, a withdrawal for bills), or for a TFSA, RRSP, FHSA or RESP contribution, that interest is not deductible. What matters is what the money was used for.
Reasonable expectation of income	Interest on money borrowed to buy common shares is generally deductible because shares can pay dividends. A company with a stated policy of never paying dividends is a grey zone.
Keep your statements	Your monthly brokerage statements are your proof of the interest paid.

5. DIVIDENDS AND INTEREST

Income	Tax treatment	T1 lines
Eligible Canadian dividends	Grossed up by 38%, then a federal dividend tax credit of 15.0198% of the grossed-up amount, plus a provincial credit. Most TSX-listed companies pay eligible dividends.	12000, 40425
Non-eligible dividends	Grossed up by 15%, federal credit 9.0301%. Mostly from small private companies.	12010, 40425
US dividends	Taxed at 100%. The US usually withholds 15% (with a W-8BEN on file). In a non-registered account you can claim it as a foreign tax credit. Inside an RRSP there is no withholding at all.	12100, 40500 (T2209)
Interest income	Taxed at 100%, no special credit.	12100

Log US dividends at the gross amount, before the US tax is withheld. The tracker estimates the foreign tax credit at 15%; use the foreign tax shown on your T5 or T3 slips when you file.

6. MARGIN RISK

- **Margin calls happen fast.** If your equity falls below your broker's requirement, it can sell your shares without asking, often at the worst time.
- **Each broker sets its own rules**: the interest rate, and how much you can borrow against each stock (large TSX stocks often need 30% of their value as margin, small caps up to 100%).
- **Interest adds to the loan.** Unpaid interest is added to your margin balance and charged interest the next month.
- **Break-even yield.** A full year of interest ÷ the value of your margin holdings is what they must earn just to pay for the borrowing. The tracker compares it with your income yield.

7. MORE THAN ONE BROKERAGE

- **In-kind transfers between your own taxable accounts are not a sale.** Log Transfer Out and Transfer In.
- **Moving shares into a TFSA, RRSP or FHSA is a sale** at market value: a gain is taxable and a loss is denied. Sell first and contribute the cash instead.
- **The new broker's book value is often wrong** after a transfer. T5008 box 21 (proceeds) is reliable; for box 20 (cost or book value), use your own ACB.
- **Collect slips from every brokerage**: T5 (dividends and interest), T3 (ETF and fund distributions) and T5008 (sales), usually by the end of March.

For educational purposes only. Not financial or tax advice. Rules summarized for 2026 (federal) from canada.ca, the Income Tax Act (s. 54 and 20(1)(c)) and Income Tax Folio S3-F6-C1. Always confirm your own situation with a tax professional. Questions: hello@maplesheet.ca